



भारत सरकार / GOVERNMENT OF INDIA
वित्त मंत्रालय / MINISTRY OF FINANCE
राजस्व विभाग / DEPARTMENT OF REVENUE
सीमा शुल्क के प्रधान आयुक्त का कार्यालय /
OFFICE OF THE PRINCIPAL COMMISSIONER OF CUSTOMS
हवाई अड्डा एवं एअर कार्गो आयुक्तालय/ AIRPORT AND AIR CARGO
COMMISSIONERATE,
देवनहल्ली, बेंगलूरु -560 300/ DEVANAHALLI : BENGALURU - 560 300
Phone: 080-22001422/22001440 Fax: 080-22001448.

email: svb-customsblr@gov.in

C No: CUS/SVB/212/2025-SVB

Dated: As per digital signature

DIN-20251272MP00520409

DOV Regn No: DOV0010243

IEC No.: 0706024192

PAN: - AABCI5743A

INVESTIGATION REPORT No.- 76/2025-26

Subject: Determination of assessable value of goods imported by **Indo Sakura Software Pvt. Ltd.** (IEC No. 0706024192 and PAN No. AABCI5743A) having registered office at No. 44, Shop No. 3&4, 2nd Floor, Sri Chamundeshwari Complex, Banashankari 3rd Stage, Bangalore-560085 from its related overseas supplier M/s Shakura Trading Company Limited, Tokyo, Japan under section 14 (1) of the Customs Act, 1962 read with Customs Valuation (Determination of Value of Imported Goods) Rules, 2007 - reg.

INTRODUCTION /BACKGROUND

1. The import of goods by M/s Indo Sakura Software Pvt. Ltd. from its related overseas suppliers, M/s Sakura Trading Company Limited, Tokyo, Japan was referred to the Special Valuation Branch (SVB), Bangalore, vide letter No. VIII/48/194/2015 Gr.4 dated 02.09.2016. However, it is not mentioned in the said letter whether permission of the concerned Commissioner has been obtained or not. Hence, this office vide letter dated 15.09.2016, 09.11.2018, 07.05.2019 & 15.04.2020 sent to the Deputy Commissioner of Customs (Gr.4), ICD, Bengaluru to forward the details of permission obtained from the Commissioner of Customs, Bengaluru as per Board's Circular No. 05/2016-Customs dated 09.02.2016. No reply has been received till date.

2. Subsequently, the case was registered with SVB, Bangalore vide F. No. S/44/02/57/2016-SVB-BNG & DGOV Reg. No. DOV0010243 dated 12.09.2016. Meanwhile, the importer vide letter dated 28.07.2017 has been requested to submit the documents. The importer vide letter dated 16.10.2017 submitted the following documents:

- Duly filled in Questionnaire (Annexure A & B)
- List of Related suppliers
- Copy of IEC Certificate, PAN No.
- Shareholding Pattern
- Copy of Value Added Tax and Service Tax Registration certificate
- Copy of Bill of Entry No. 2355238 dated 24.08.2015 alongwith invoice
- Year wise import data for years 2015, 2016 and 2017
- Copy of Memorandum of Association
- List of Directors
- Copy of Unaudited Financial for F.Y. 2014-15, 2015-16
- Copy of Form 3CEB for F.Y. 2014-15, 2015-16

3. Further, this office vide letter dated 15.04.2020, 15.10.2020, 06.07.2021, 15.02.2022, 26.05.2022 requested to submit the remaining documents. However, no reply has been received. Hence, this office vide letter dated 12.10.2022 fixed a personal hearing 25.10.2022 at 11.45 P.M. in reply the importer has submitted letter dated 25.10.2022 requesting to grant a short adjournment for 10 days. Later the importer vide mail dated 07.12.2022 submitted the **Financial for the F.Y. 2016-17, 2017-18, 2018-19 & 2021-22 only** and mention that from F.Y. 2020-21 & 2021-22, they have completely stopped imports from their related companies. Hence, again deficiency memo dated 09.12.2022 and subsequent reminder dated 28.07.2023 has been issued requesting to submit the remaining documents for SVB investigation. However, no further documents have been submitted by the importer.

4. According to www.dov.in, a case was registered in SVB Bangalore (S/44/02/57/2016-SVB-BNG & DGOV Reg. No. DOV0010243 dated 12.09.2016). The current investigation aims to determine whether the relationship with overseas suppliers has influenced the import value.

5. Official emails confirm that the importer was requested (via info@indosakura.com, gaurav@incofirm.com 28.07.2023 & 02.07.2024) to submit relevant documents for this SVB probe. No reply has been received.

7. **SCOPE AND LIMITATION OF THE INVESTIGATION**

7.1 Repeated opportunities have been afforded to the importer to submit documents necessary for a complete and proper valuation analysis under Rule 2(2) read with Rule 3(3) of the CVR 2007.

7.2 Failure to submit required documents despite multiple communications, including inter-company agreements, audited financials, Form 3CEB, transfer pricing studies, and remittance records.

7.3 In the absence of such documentation, a final deficiency memo (CUS/SVB/212/2025-SVB BNG dated 19.12.2025) was emailed to the importer, warning that the

investigation would be concluded ex-parte. Even after this, there was no response from the importer.

7.4 A final letter dated 22.12.2025 was also sent vide mail to the Assistant Commissioner of Customs (Gr.-4), ICD, Bangalore to submit permission obtained from the Commissioner of Custom, Bangalore in terms of Board's Circular No. 05/2016 dated 09.02.2016, no reply has been received in this regard.

7.5 Therefore, with the approval of the Commissioner of Customs, the investigation has been concluded based on available evidence, in line with the need for timely disposal and finalization of pending provisional Bills of Entry.

7.6 In line with Board Circulars 04/2016 and 05/2016 (both dated 09.02.2016), recent changes in Section 18 of the Customs Act, and Circular 22/2025-Customs (12.09.2025), this report relies only on documentation in SVB records.

8

COMPANY'S PROFILE

8.1. The importing firm, M/s. **M/s Indo Sakura Software Pvt. Ltd.** (IEC No. 0706024192 and PAN No. AABCI5743A) having registered office at No. 44, Shop No. 3&4, 2nd Floor, Sri Chamundeshwari Complex, Banashankari 3rd Stage, Bengalore-560085; however, the said IEC presently stands **"Deactivated"** as per DGFT records. The screenshot is appended below for the ease of reference:

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BRANCH DETAILS



8.2 There is one GST Registration linked to PAN “AABCI5743A”. However, as per GST Portal all the GST Registration are showing ‘**Active**’. The screenshot is appended below for ease of reference:

Goods and Services Tax
 Government of India, States and Union Territories

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Home Search Taxpayer Search by PAN

Search Taxpayer * indicates mandatory fields

Permanent Account Number (PAN)*

Permanent Account Number (PAN)

SEARCH

Kindly select GSTIN which you want to report on the GST Portal.

Search Result based on PAN : AABCI5743A

S. No.	GSTIN/UIN	GSTIN/UIN Status	State	Select to Report
1	29AABCI5743A1ZT	Active	Karnataka	

9. RELATIONSHIP

9.1 As per the declaration made by the importer in Annexure-A (appended above), it is declared that **Indo Sakura Software Pvt. Ltd., Bangalore**, and the overseas supplier, **Sakura Trading Company, Japan** and **Indo Sakura Software Japan Co. Ltd.** are the related. The said declaration is appended below for the ease of reference:

9.2 Further, as per Audited balance sheet of F.Y. 2021-22, the Share Holding Pattern AND related party disclosure of the M/s. Indo Sakura Software Pvt. Ltd., Bengaluru is as follows:-

Sl.No	Name of the Share holder	No. of shares held	Percentage
1	Atul Kumar Paswan	8495	84.95%
2	Shabnam Kumari	1495	14.95%

SI No.	Name of Related Parties	Description of Relationship
1	Indo Sakura Japan KK	Entities where key management personnel are able to exercise significant influence
2	Sakura Trading Co.	Entities where key management personnel are able to exercise significant influence
3	Atul Kumar Paswan	Director

4	Shabnam Kumari	Director
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9.3 Thus, in view of the above, it is evident that M/s. **Indo Sakura Software Pvt. Ltd., Bangalore** and its foreign suppliers **Sakura Trading Company, Japan** and **Indo Sakura Software Japan Co. Ltd., Japan** are related parties under sub rule (i) and (iv) of Rule 2(2) of CVR, 2007.

10. VALUATION OBSERVATIONS

10.1 After it is settled that the importer and the supplier are related persons in terms of Rule 2(2) Clause (i) and (iv) of Customs Valuation (Determination of Value of the Imported Goods) Rules 2007, it is to be examined as to whether the declared value of the imports made by the importer from the overseas related suppliers, can be accepted as transaction value, under Rule 3(3) of the Customs Valuation (Determination of Value of Imported Goods) Rules, 2007 or not.

10.2 Despite repeated requests, the importer did not supply documents necessary to analyze pricing methodology, parity with unrelated transactions, or industry standards. However, letter dated 24.12.2025 has been sent vide mail to DGOV, Mumbai requesting to provide the NIDB data for import made by M/s. Indo Sakura Software Pvt. Ltd., India and regarding supply made by Sakura Trading Company, Japan and Indo Sakura Software Japan Co. Ltd., Japan to any unrelated party in India, if any. But no reply has been received. Thus, the declared transaction value cannot be accepted under Rule 3(3)(a). The importer has also failed to demonstrate that the declared value closely approximates values prescribed by Rule 3(3)(b). The required evidence was not provided, so the fairness and correctness of the declared value are unsubstantiated.

Conclusion & Findings

11. No conclusive finding could be drawn as to whether the relationship between the importer and its overseas supplier has influenced the value of the goods imported by the importer from its related supplier. The declared value cannot be determined under Rule 3. As per Rule 3(4), sequential valuation methods (Rules 4–9) must be applied.

12. As contemporary import data, resale prices, and supplier costs/financial data are unavailable, valuation under Rules 4–9 cannot be concluded with current evidence.

13. The jurisdictional Assessing Group may, if warranted, examine and compare the declared value under Rule 9, and if suppression is found, re-determine by loading under Rule 9 subject to appropriate adjustments under Rule 10.

14. During the course of investigation, the importer has not furnished either the audited financial statements or the Form 3CEBs disclosures relating to international related-party transactions. In the absence of these documents, it has not been possible to conclusively examine whether any flow-back of payments to the related overseas supplier, **Sakura Trading Company, Japan and Indo Sakura Software Japan Co. Ltd., Japan** has occurred on account of royalty, licence fees, technical know-how, trademark usage, or any other consideration which would warrant addition under Rule 10(1)(c), (d), or (e) of the CVR, 2007. Accordingly, this aspect remains open to further verification, and the Assessing Group may, if deemed necessary, call for the audited financials and the relevant Form 3CEB from the importer at the time of final assessment.

15. In line with Board Circulars 04/2016 and 05/2016 (both dated 09.02.2016), recent changes in Section 18 of the Customs Act, and Circular 22/2025-Customs (12.09.2025), the investigation has to be completed in a time bared manner, hence the investigation report has been furnished based on the available records.

16. The Assessing Group is directed to conduct usual scrutiny at the time of assessment, may request additional required documents, and finalize any pending provisional assessments as per law.

17. This report is prepared on the basis of Importer's statements, information and declaration in various written submissions made to this office and does not take into account any suppression or mis-declaration affecting the invoice value, which may be dealt with appropriately under the law and procedures as and when detected. Any mis-declaration, suppression or mis-statement contained in the submission would render this report invalid and void ab initio. In case of any discrepancy in documents submitted by importer, suitable action as deemed fit may be taken as per Customs Act, 1962 by jurisdictional Commissionerate.

18. Any change, error or omission thereof should be brought to the notice of this branch immediately. Any alterations in the method of invoicing, adjustments to the terms of the relationship, identification of errors or omissions, or disclosure of any other material facts that could impact the valuation of the goods under Valuation Rules, must be expeditiously brought to the attention of this branch for immediate review.

19. This IR is issued in terms of para 3.3 of the Board's Circular No.05/2016-Customs dated 09.02.2016 with the approval of the Commissioner of Customs, AP&ACC, Bangalore in terms of para 8.3 of the Board's Circular\ No.05/2016-Customs dated 09.02.2016.

20. All pending Provisional Assessments if any, may be finalized accordingly.

Digitally signed by

Reeja Raghavan

(REEJA RAGHAVAN)
Date: 30-12-2025

12:19:14

ASSISTANT

COMMISSIONER OF CUSTOMS

SPECIAL VALUATION BRANCH,
BENGALURU

Indo Sakura Software Pvt. Ltd. (IEC No. 0706024192)

No. 44, Shop No. 3&4, 2nd Floor,

Sri Chamundeshwari Complex, Banashankari 3rd Stage,
Bangalore-560085

(Copy submitted to all BY-

MAIL)

Copy submitted to:

1. The Commissioner of Customs, Airport & ACC, Bengaluru.

Copy submitted to:

1. The Directorate General of Valuation, New Custom House, Annex 7th Floor, Ballard Estate, Mumbai-400001.
2. The Commissioner of Customs, C. R. Building, Queens Road, Bengaluru.
3. The Joint Director, (RMD), O/o The Addl. Director General, RMD, Directorate of Systems, No.13, Sir Vithaldas Thakersey Marg, Opp. Patkar Hall, New marine Lines, Mumbai-20.
4. The Commissioner of Customs, Custom House, Panambur, Mangalore-10.
5. The Principal Commissioner of Customs, Chennai-II, Chennai-VIII (ACC) and Chennai-VIII.
6. The Principal Commissioner of Customs (Import), New Delhi.
7. The Commissioner of Customs, ICD, Patparganj, New Delhi.
8. The Commissioner of Customs, ICD, Tughlakbad, New Delhi.
9. The Principal Commissioner of Customs (Import - I/II), Mumbai

10. The Principal Commissioner of Customs, Nhavasheva-I, II, III, IV, V, JNCH, Mumbai.
11. The Addl. Commissioner of Customs, ICD, Whitefield, Bengaluru-560066.
12. The Joint Commissioner of Customs, Directorate General of
13. Valuation, Southern Zonal unit, 5th Floor, Annex Bldg., Custom house, 60, Rajaji Salai, Chennai-600001
14. The Joint Commissioner of Customs (SVC) JNCH, Nava Sheva, Post, Tal- Uran, Dist. Raighad-400707.
15. The Joint Commissioner of Customs, Cochin, Kerala- 682009.
16. The Joint Commissioner of Customs, Custom House, Trichy.
17. The Joint Commissioner of Customs, Custom House, Vizag.
18. The Deputy Commissioner, Customs, (SVB), NCH, IGI Airport, New Delhi - 110 037.
19. The Deputy Commissioner of Customs (SVB), Custom House, 15/1; Strand House, Calcutta- 700001
20. The Deputy Commissioner, Customs, GATT Valuation Cell, NCH, Ballard Estate, Mumbai-400001.
21. The Deputy Commissioner of Customs, Custom House, New Harbour Estate, Tuticorin.
22. The Deputy Commissioner, Customs (SVB), Custom House, No.60, Rajaji Salai, Chennai- 600027.
23. The Deputy Commissioner of Customs, Imports, ACC, Shamshabad, Hyderabad.
24. The Deputy/Assistant Commissioner, All assessing Groups, ACC, Bengaluru.
25. Office Copy/Master File.